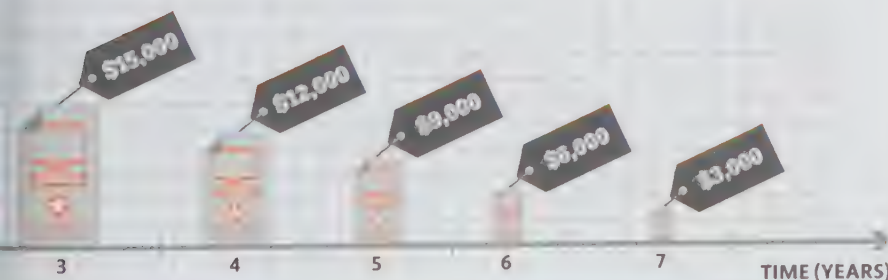


How it works

Depreciation is used to calculate the declining value of tangible assets (such as a machine or vehicle). It is a measure of how much the value of an asset falls over time, particularly due to use, or wear and tear. Amortization is a term used in accounting to describe how the initial cost of an intangible asset (one without

a physical presence, such as a patent) can be gradually written off over a number of years. Depletion is the reduction in value of an asset that is a natural resource. Unlike amortization, which deals with nonphysical assets, depletion records the fall in value of actual reserves. It could be applied to coal or diamond mines, oil and gas, or forests, for example.



WARNING

► **Country differences** There are different ways of allowing for depreciation, and accounting methods vary from one country to another. When working out how much a company is allowing for the cost of depreciation, it is important to know which method is being used in its accounts.

► **Purchasing vs leasing assets** Business owners have to make a choice between buying assets that they own but that will fall in value over time, or leasing equipment on which they will pay rent. As they do not own leased equipment, they cannot record its depreciation in value over time and there is no depreciation charge to be used to reduce the company's taxable profit.

60%
the value the
average car
loses after
3 years on
the road